25901174 **A**

Reg.No : .....

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026

Fourth SEMESTER

Discipline Specific Elective (DSE) - MG4DSECOM205 - ESSENTIALS OF SUPPLY CHAIN MANAGEMENT

(2024 ADMISSION ONWARDS)

Duration: 1 hour 15 minutes **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

MCQ Questions

Answer any **20** questions

Each question carries **1** marks

1. Which of the following is the key element of scheduling? [U] / [CO3]

   a). Customer service b). Inventory management

   c). Resource Allocation d). Flexibility

2. MRP improves material flow efficiency mainly because it: [U] / [CO2]

   a). Reduces production batch sizes uniformly b). Links material requirements directly to scheduled output

   c). Eliminates all forms of inventory d). Centralizes supplier negotiation

3. Usage of the internet & related technology-based SCM is known as: [U] / [CO3]

   a). TMS b). KPI

   c). WBSCM d). TSP

4. Single sourcing increases risk mainly due to: [U] / [CO4]

   a). Lack of economies of scale b). Dependence on one supplier

   c). High Administrative Costs d). Excess Inventory

5. According to the role of SCM, ensuring smooth flow of materials helps to [U] / [CO1]

   a). Increase marketing efficiency b). Avoid delays and production stoppages

   c). Improve branding d). Increase labor productivity only

6. Supplier reliability risks can damage [U] / [CO1]

   a). Transportation speed b). Inventory turnover

   c). Brand credibility d). Forecasting accuracy

7. Which of the following is NOT related to inventory management? [U] / [CO2]

   a). Stock control b). Storage management

   c). Production planning d). Staff recruitment

8. Which is the factor to be considered in the supply chain strategy implementation first stage? [U] / [CO3]

   a). Inventory cost b). Key Performance Indicators

   c). Transportation management system d). System management

9. Assertion (A): Cross-docking increases the lead time of a product. Reasoning (R): Cross-docking involves moving goods directly from receiving to shipping with little to no storage time. [U] / [CO4]

   a). Both A and R are true and R is the correct explanation of A b). Both A and R are true but R is NOT the correct explanation of A

   c). A is true but R is false d). A is false but R is true

10. According to the Council of Supply Chain Management Professionals, SCM includes [U] / [CO1]

    a). Only logistics activities b). Marketing and finance only

    c). Manufacturing alone d). Sourcing, procurement, conversion and logistics

11. Which technology enabled seamless coordination among suppliers and distributors in the 1990s? [U] / [CO1]

a). Artificial intelligence b). Blockchain

c). Electronic Data exchange d). Robotics

12. One of the key features of GOLF is integration with: [U] / [CO2]

a). Warehouse layout systems b). Manual ledger books

c). Digital treasury operations d). Retail billing counters

13. "Behavioral Obstacles" are characterized by: [U] / [CO4]

a). Problems with the software used for tracking inventory. b). A lack of trust and poor communication between supply chain partners.

c). High taxes on imported raw materials. d). The physical distance between a factory and a retailer.

14. Vertical coordination refers to coordination between: [U] / [CO4]

a). Competing firms b). Different stages of the same supply chain

c). Unrelated industries d). Government and firms

15. Which of the following factors should be considered when designing a tailored transportation network? [U] / [CO3]

a). Customer distance and density. b). Product perishability and value.

c). Required speed of delivery. d). All of the other options

16. Who is the integral part of a supply chain? [U] / [CO1]

a). Customer b). Retailer

c). Wholesaler d). Supplier

17. Distribution in the supply chain is best described as [U] / [CO2]

a). The final link that connects production to consumption by delivering goods through intermediaries b). Only the manufacturing process of goods

c). Solely the purchasing of raw materials d). The marketing and promotion of products

18. Which risk type is associated with changes in international trade laws and tariffs? [U] / [CO3]

a). Geopolitical Risk b). Operational Risks

c). Security & Safety Risks d). Digital & Cybersecurity Risk

19. Lean SCM mainly uses which production principle? [U] / [CO4]

a). Pull system b). Push system

c). Mass production d). Job production

20. The GSCM strategy of diversifying suppliers across different regions is primarily intended to mitigate which challenge? [U] / [CO3]

a). Longer Lead Times b). Loss of Control

c). Risk Management (e.g., geopolitical events, natural disasters) d). Regulatory and Compliance Challenges

21. An agile supply chain is best suited for: [U] / [CO1]

a). Stable demand and standard products b). Uncertain demand and customized products

c). Bulk commodities d). Seasonal agricultural products

22. What is the fundamental objective of JIT philosophy? [U] / [CO2]

a). Maximize production capacity b). Eliminate all forms of waste

c). Increase batch size d). Reduce labour cost

[1x20 = 20]

Part B

MCQ Questions

Answer any **25** questions

Each question carries **2** marks

23. Consider the following statements and choose the most appropriate alternative. [U] / [CO3]
Statement I:Tailored transportation enables firms to use different modes and networks based on specific customer and product characteristics .
Statement II: Tailored transportation allows firms to align the degree of inventory aggregation and transportation modes with product demand and value.

a). Both statements are true. b). Statement I is true, and Statement II is false.

c). Statement I is false, and Statement II is true. d). Both statements are false.

24. Consider the following statements and state which of the statements are true. [U] / [CO4]
Statement (1): Implementing Every Day Low Pricing (EDLP) can function as a coordination mechanism in the supply chain.
Statement (2): Stable pricing under EDLP reduces the incentive for retailers to engage in forward buying during promotional periods.
Statement (3): By smoothing the demand signal, EDLP helps manufacturers plan production and distribution more efficiently.
Statement (4): EDLP encourages retailers to make large-scale forward purchases whenever prices are temporarily reduced.

a). (1), (2) and (3) only
b). (1) and (4) only
c). (2), (3) and (4) only
d). (1), (2), (3) and (4)

25. Consider the following statements: Assertion (A) and Reasoning (R). Choose the correct alternative. [U] / [CO4]
Assertion (A): Vendor Managed Inventory (VMI) can significantly improve supply chain coordination.
Reasoning (R): In a VMI system, the retailer is responsible for calculating the safety stock levels for the manufacturer.

a). Both A and R are true, and R is the correct explanation of A.
b). Both A and R are true, but R is NOT the correct explanation of A.
c). A is true, but R is false.
d). A is false, but R is true.

26. Consider the following statements and choose the most appropriate alternative. [U] / [CO1]
Statement I: SCM ensures the smooth flow of raw materials, components, and finished goods.
Statement II: This helps avoid production delays and stoppages.

a). Both statements are true.
b). Statement I is true, and Statement II is false.
c). Statement I is false, and Statement II is true.
d). Both statements are false.

27. In the steps of conducting a materials audit, which step involves creating a quantitative balance of materials and their associated costs to highlight monetary losses? [U] / [CO2]

a). Preparation and Planning
b). Data Collection and Analysis
c). Material and Cost Balancing
d). Follow-up

28. Consider the following statement of Assertion (A) and Reasoning (R). Choose the correct alternative. [U] / [CO3]
Assertion (A): Cargo theft & piracy are diminishing concerns due to modern

tracking systems.
Reasoning (R): Thieves are becoming more sophisticated, using methods like cyber-fraud, forged documents, and insider information to steal cargo.

a). A is true, but R is false.
b). A is false, but R is true
c). Both A and R are true, and R is the correct explanation of A.
d). Both A and R are true, but R is NOT the correct explanation of A.

29. Consider the following statements: Assertion (A) and Reasoning (R). Choose the correct alternative. [U] / [CO4]
Assertion (A): A firm should always choose the supplier with the lowest quoted unit price.
Reasoning (R): The Total Cost of Ownership (TCO) includes hidden costs like shipping, defects, and inventory holding that may make a cheap supplier expensive.

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b). Both A and R are true, but R is NOT the correct explanation of A.
c). A is true, but R is false.
d). A is false, but R is true.

30. Which of the following is a key factor influencing distribution network design? [U] / [CO2]

a). Product characteristics such as value, size, shelf life, and demand volatility
b). Ignoring customer response time expectations
c). Using only air transportation for all products
d). Eliminating all inventory holding costs

31. Consider the following statements and choose the most appropriate alternative. [U] / [CO1]
Statement I: Sourcing focuses on acquiring raw materials and services.
Statement II: Sourcing includes negotiating contracts with suppliers.

a). Both statements are true.
b). Statement I is true, and Statement II is false.
c). Statement I is false, and Statement II is true.
d). Both statements are false.

32. Perpetual systems are vulnerable to: [U] / [CO2]

a). System failures or glitches requiring occasional physical counts
b). Low accuracy in forecasting
c). Being too simple for large businesses
d). No need for employee training

33. Consider the following statements and choose the most appropriate alternative: [U] / [CO3]
Statement I: Global supply chains are primarily designed to maximize efficiency (low cost) rather than responsiveness (speed/flexibility).
Statement II: A global supply chain that focuses on responsiveness typically utilises inventory buffers and fast, expensive transportation modes

a). Both statements are true.
b). Statement I is true, and Statement II is false.
c). Statement I is false, and Statement II is true.
d). Both statements are false

34. Consider the following statements and state which of the statements are true. [U] / [CO4]
Statement (1): Offshoring is primarily driven by the search for low-cost labor.
Statement (2): Many manufacturing firms move production to developing nations to take advantage of lower wage rates.
Statement (3): Offshoring decisions are influenced only by labor costs and not by factors such as market access, taxation, or infrastructure.
Statement (4): Apart from cost reduction, offshoring may also be motivated by access to skilled labor and proximity to emerging markets.

a). (1) and (2) only
b). (1), (2) and (4) only
c). (2), (3) and (4) only
d). (1), (2), (3) and (4)

35. Match the following: [U] / [CO3]

(a) Weight and Volume	(i) Requires fast transit, often specialised (e.g., refrigerated trucks)
(b) Perishability	(ii) Often justifies the higher cost of faster, more secure transport
(c) Hazardous Materials	(iii) Heavier/bulkier products are cost-effective via sea or rail
(d) Value	(iv) Involves strict regulations and special carriers

a). a-i, b-iii, c-iv, d-ii
b). a-iii, b-i, c-iv, d-ii
c). a-iv, b-i, c-iii, d-ii
d). a-iii, b-i, c-ii, d-iv

36. Consider the following statements, Assertion (A) and Reasoning (R). Choose the correct alternative. [U] / [CO1]
Assertion (A): Modern consumers expect fast delivery, real-time tracking, and easy returns.
Reasoning (R): Companies that fail to meet these expectations through a robust supply chain may lose customers even if their products are good.

a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false.

d). A is false, but R is true.

37. The role of distribution in the supply chain is best described as the: [U] / [CO2]

a). Process of manufacturing raw materials into finished goods

b). Final link that connects production to consumption by delivering the right product at the right time and place

c). Activity of only storing inventory in warehouses

d). Planning of demand forecasting without any physical movement

38. Transporting hazardous goods involves strict regulations, special carriers, and specific routes. Which factor of transportation decision is this? [U] / [CO3]

a). Cost factor

b). Macro factors

c). Product-related factors

d). Service & Customer-related factors

39. Consider the following statements: Assertion (A) and Reasoning (R). Choose the correct alternative. [U] / [CO4]

Assertion (A): Total Cost of Ownership (TCO) is a better metric than unit price for lean sourcing.

Reasoning (R): TCO accounts for the costs of quality defects, late deliveries, and excess inventory caused by unreliable suppliers.

a). Both A and R are true, and R is the correct explanation of A

b). Both A and R are true, but R is NOT the correct explanation of A

c). A is true, but R is false

d). A is false, but R is true

40. Consider the following statements: [U] / [CO2]

Statement I: Cycle counting involves counting a small, specific portion of inventory on a regular, rotating basis.

Statement II: A full inventory audit is typically performed once or twice a year to reconcile physical stock with records.

Choose the most appropriate alternative.

a). Both statements are true

b). Statement I is true, and Statement II is false

c). Statement I is false, and Statement II is true

d). Both statements are false.

41. Consider the following statements and choose the most appropriate alternative. [U] / [CO1]
Statement I: Agile supply chains are designed to handle uncertainty and market volatility.
Statement II: Agile supply chains are best suited for mass-produced goods with stable demand.

a). Both statements are true
b). Statement I is true and Statement II is false
c). Statement I is false and Statement II is true
d). Both statements are false

42. Which of the following statements most accurately reflects the meaning of MRP? [U] / [CO2]

a). It is a forecasting model for finished goods
b). It is a simulation technique for demand variability
c). It is a computer-based system for managing dependent demand inventory
d). It is a qualitative decision-making tool for procurement

43. Consider the following statement of Assertion (A) and Reasoning (R). Choose the correct alternative. [U] / [CO3]
Assertion (A): Moving to WBSCM increases sensitive data security risk.
Reasoning (R): The web platforms are less secure than older systems.

a). A is true, but R is false.
b). A is false, but R is true
c). Both A and R are true, and R is the correct explanation of A.
d). Both A and R are true, but R is NOT the correct explanation of A.

44. Consider the following statements: Assertion (A) and Reasoning (R). Choose the correct alternative. [U] / [CO4]
Assertion (A): Digital Transformation (SCM 4.0) is the "backbone" of modern world-class SCM.
Reasoning (R): Technologies like AI, IoT, and Big Data allow for "predictive analytics," helping firms sense and respond to demand shifts instantly.

a). Both A and R are true, and R is the correct explanation of A.
b). Both A and R are true, but R is NOT the correct explanation of A.
c). A is true, but R is false.
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45. Demand forecasting primarily involves estimating: [U] / [CO2]

a). The cost of raw materials for the next year
b). The quantity of a product or service consumers will demand in a future period

c). The number of employees needed in production

d). The storage capacity required in the warehouse

46. Consider the following statements, Assertion (A) and Reasoning (R). Choose the correct alternative. [U] / [CO1]

Assertion (A): Reverse logistics is concerned with moving goods from customers back to the company.

Reason (R): It includes activities such as returns management, repair/refurbishing, and warranty replacements to maintain customer loyalty.

a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false.

d). A is false, but R is true.

47. Which of the following best describes the role of MRP in supply planning? [U] / [CO2]

a). It forecasts future customer demand using qualitative methods

b). It calculates the exact timing and quantity of raw materials and components required

c). It only plans distribution routes for finished goods

d). It adjusts forecasts based on sales team input only

48. Consider the following statement of Assertion (A) and Reasoning (R). Choose the correct option. [U] / [CO3]

Assertion (A): Products are manufactured and pushed into the markets based on demand forecasts.

Reasoning (R): Push strategy suitable for low demand uncertainties.

a). A is true, but R is false.

b). A is false, but R is true

c). Both A and R are true, and R is the correct explanation of A.

d). Both A and R are true, but R is NOT the correct explanation of A.

49. Consider the following statements: Assertion (A) and Reasoning (R). Choose the correct alternative. [U] / [CO4]

Assertion (A): The bullwhip effect is primarily a problem for the retailer.

Reasoning (R): Manufacturers and raw material suppliers face the highest volatility in demand and the highest costs of excess capacity.

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[2x25 = 50]

25901174 **B**

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MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026

Fourth SEMESTER

Discipline Specific Elective (DSE) - MG4DSECOM205 - ESSENTIALS OF SUPPLY CHAIN MANAGEMENT

(2024 ADMISSION ONWARDS)

Duration: 1 hour 15 minutes **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

MCQ Questions

Answer any **20** questions

Each question carries **1** marks

1. Who is the integral part of a supply chain? [U] / [CO1]

   a). Customer b). Retailer

   c). Wholesaler d). Supplier

2. According to the role of SCM, ensuring smooth flow of materials helps to [U] / [CO1]

   a). Increase marketing efficiency b). Avoid delays and production stoppages

   c). Improve branding d). Increase labor productivity only

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12. Which technology enabled seamless coordination among suppliers and distributors in the 1990s? [U] / [CO1]

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13. One of the key features of GOLF is integration with: [U] / [CO2]

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14. "Behavioral Obstacles" are characterized by: [U] / [CO4]

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16. The GSCM strategy of diversifying suppliers across different regions is primarily intended to mitigate which challenge? [U] / [CO3]

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c). Risk Management (e.g., geopolitical events, natural disasters)

d). Regulatory and Compliance Challenges

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[1x20 = 20]

Part B

MCQ Questions

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30. Consider the following statement of Assertion (A) and Reasoning (R). Choose the correct alternative. [U] / [CO3]
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(b) Perishability	(ii) Often justifies the higher cost of faster, more secure transport
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a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, but R is NOT the correct explanation of A.

c). A is true, but R is false.

d). A is false, but R is true.

38. Consider the following statements: Assertion (A) and Reasoning (R). Choose the correct alternative. [U] / [CO4]
Assertion (A): Vendor Managed Inventory (VMI) can significantly improve supply chain coordination.
Reasoning (R): In a VMI system, the retailer is responsible for calculating the safety stock levels for the manufacturer.

a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, but R is NOT the correct explanation of A.

c). A is true, but R is false.

d). A is false, but R is true.

39. Which of the following best describes the role of MRP in supply planning? [U] / [CO2]

a). It forecasts future customer demand using qualitative methods

b). It calculates the exact timing and quantity of raw materials and components required

c). It only plans distribution routes for finished goods

d). It adjusts forecasts based on sales team input only

40. Consider the following statements and choose the most appropriate alternative: [U] / [CO3]
Statement I: Global supply chains are primarily designed to maximize efficiency (low cost) rather than responsiveness (speed/flexibility).
Statement II: A global supply chain that focuses on responsiveness typically utilises inventory buffers and fast, expensive transportation modes

a). Both statements are true.

b). Statement I is true, and Statement II is false.

c). Statement I is false, and Statement II is true.

d). Both statements are false

41. Which of the following statements most accurately reflects the meaning of MRP? [U] / [CO2]

a). It is a forecasting model for finished goods

b). It is a simulation technique for demand variability

c). It is a computer-based system for managing dependent demand inventory

d). It is a qualitative decision-making tool for procurement

42. Consider the following statements, Assertion (A) and Reasoning (R). Choose the correct alternative. [U] / [CO1]
Assertion (A): Reverse logistics is concerned with moving goods from customers back to the company.
Reason (R): It includes activities such as returns management, repair/refurbishing, and warranty replacements to maintain customer loyalty.

a). Both A and R are true, and R is the correct explanation of A.
b). Both A and R are true, but R is not the correct explanation of A.
c). A is true, but R is false.
d). A is false, but R is true.

43. Consider the following statements, Assertion (A) and Reasoning (R). Choose the correct alternative. [U] / [CO1]
Assertion (A): Modern consumers expect fast delivery, real-time tracking, and easy returns.
Reasoning (R): Companies that fail to meet these expectations through a robust supply chain may lose customers even if their products are good.

a). Both A and R are true, and R is the correct explanation of A.
b). Both A and R are true, but R is not the correct explanation of A.
c). A is true, but R is false.
d). A is false, but R is true.

44. Transporting hazardous goods involves strict regulations, special carriers, and specific routes. Which factor of transportation decision is this? [U] / [CO3]

a). Cost factor
b). Macro factors
c). Product-related factors
d). Service & Customer-related factors

45. In the steps of conducting a materials audit, which step involves creating a quantitative balance of materials and their associated costs to highlight monetary losses? [U] / [CO2]

a). Preparation and Planning
b). Data Collection and Analysis
c). Material and Cost Balancing
d). Follow-up

46. Consider the following statements: Assertion (A) and Reasoning (R). Choose the correct alternative. [U] / [CO4]
Assertion (A): Digital Transformation (SCM 4.0) is the "backbone" of modern world-class SCM.
Reasoning (R): Technologies like AI, IoT, and Big Data allow for "predictive analytics," helping firms sense and respond to demand shifts instantly.

a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, but R is NOT the correct explanation of A.

c). A is true, but R is false.

d). A is false, but R is true.

47. Consider the following statements: Assertion (A) and Reasoning (R). Choose the correct alternative. [U] / [CO4]

Assertion (A): Total Cost of Ownership (TCO) is a better metric than unit price for lean sourcing.

Reasoning (R): TCO accounts for the costs of quality defects, late deliveries, and excess inventory caused by unreliable suppliers.

a). Both A and R are true, and R is the correct explanation of A

b). Both A and R are true, but R is NOT the correct explanation of A

c). A is true, but R is false

d). A is false, but R is true

48. Consider the following statements and choose the most appropriate alternative. [U] / [CO1]

Statement I: Agile supply chains are designed to handle uncertainty and market volatility.

Statement II: Agile supply chains are best suited for mass-produced goods with stable demand.

a). Both statements are true

b). Statement I is true and Statement II is false

c). Statement I is false and Statement II is true

d). Both statements are false

49. Consider the following statements and state which of the statements are true. [U] / [CO4]

Statement (1): Implementing Every Day Low Pricing (EDLP) can function as a coordination mechanism in the supply chain.

Statement (2): Stable pricing under EDLP reduces the incentive for retailers to engage in forward buying during promotional periods.

Statement (3): By smoothing the demand signal, EDLP helps manufacturers plan production and distribution more efficiently.

Statement (4): EDLP encourages retailers to make large-scale forward purchases whenever prices are temporarily reduced.

a). (1), (2) and (3) only

b). (1) and (4) only

c). (2), (3) and (4) only

d). (1), (2), (3) and (4)

[2x25 = 50]